

Agreement in Contract Law

LEGAL ENGLISH STUDY GUIDE | ENGLISH LAW

A contract is an agreement that the law recognises as legally binding. Agreement is the starting point, but agreement alone is not always enough. This guide introduces contract formation and explains how an offer and its acceptance usually establish agreement.

Learning goals: Identify the main formation requirements; distinguish an offeror from an offeree; recognise acceptance and a counter-offer; explain how words and conduct can show agreement.

1 The main formation requirements

Requirement	Plain English meaning	Example or question
Agreement	The parties agree on sufficiently certain terms, usually through offer and acceptance.	What was offered, and was that offer accepted?
Consideration	Something of value is given or promised in exchange. It need not be money.	A buyer promises to pay; a seller promises to deliver goods.
Intention to create legal relations	The agreement is intended to have legal consequences, assessed objectively.	Is this a commercial commitment or merely a social arrangement?
Formalities where required	Some transactions must meet special requirements, such as writing and signature.	A contract to sell land generally requires signed writing.

A useful limit: This is an introductory framework, not an exhaustive list. Capacity, legality and other rules may affect enforceability. A properly executed deed can be binding without consideration.

2 Agreement does not always mean contract

Two friends may agree to meet for lunch. They have an agreement in everyday language, but normally no intention to create legal relations. By contrast, a business agreement to provide a paid service will normally be intended to have legal consequences.

Many ordinary contracts can be made orally or through conduct. A signature is not a universal requirement. However, where the law requires a particular form, a verbal agreement alone may not be sufficient.

Offer and acceptance

3 Who are the parties

The **offeror** makes the offer. The **offeree** receives it. These words describe roles in the formation process; either a buyer or a seller can be the offeror.

Example: Daniel tells Mei, “I will sell you my bicycle for £80. Please reply by Friday.” Daniel is the offeror and Mei is the offeree. If Mei makes a new offer, their roles may change.

4 What counts as an offer

An offer is a sufficiently definite proposal showing willingness to be bound if accepted. Ask whether a reasonable person would understand the statement as a commitment, rather than an invitation to continue discussions.

“I might sell my bicycle” is normally too tentative. “I will sell you this bicycle for £80; reply by Friday” can be an offer. Ordinary advertisements and shop displays are usually **invitations to treat**: invitations for customers to make offers.

5 Acceptance and the mirror image rule

Acceptance is an unqualified agreement to the offer. Under the **mirror image rule**, acceptance must match the offer rather than change its terms. Saying yes to a different price is not acceptance of the original price.

Mei replies to the £80 offer	Likely classification
“I accept. I will pay £80.”	Acceptance, assuming it is validly communicated while the offer remains open.
“I will buy it only if the price is £60.”	Counter-offer: a new proposal that normally rejects the original offer.
“Would you consider £60?”	A possible request for information rather than a counter-offer; wording and context matter.

Acceptance generally needs to be communicated. Special rules may apply, including the postal rule and acceptance through performance of a unilateral offer. Silence alone is generally not acceptance.

6 A complete worked example

Daniel offers the bicycle for £80. Mei clearly accepts before the deadline. They have agreement. Her promise to pay and his promise to supply the bicycle provide consideration. The sale is intended to be binding, and an ordinary bicycle sale does not require a signed written contract.

Conclusion: On these facts, and assuming no other legal obstacle, a contract is formed. If Mei instead says “£60 only”, agreement on the original offer has not been reached.

Agreement through words and conduct

7 The objective approach

Courts generally assess what the parties communicated through words and conduct, read in context. A secret thought such as “I did not really mean it” is not decisive if the person objectively appeared to make a binding commitment.

Agreement may be shown by actions. For example, a customer requests a paid repair and the repairer agrees to carry it out. Their conversation and subsequent conduct may show a contract, even without a formal document.

8 Case study on unsigned documents

RTS Flexible Systems Ltd v Molkerei Alois Müller GmbH & Co KG (UK Production)
[2010] UKSC 14.

Facts: RTS and Müller discussed machinery for a packaging project. Work began under a letter of intent while negotiations continued. The letter expired, and no final contract was signed. A dispute arose about whether a binding agreement existed.

Issue: Could there be a contract despite the absence of a signed final document?

Decision: The Supreme Court found that the parties had reached a binding agreement. They had agreed the essential terms and, in the circumstances, waived their requirement that the agreement remain subject to contract.

Outcome: Müller’s appeal succeeded. The Supreme Court set aside the Court of Appeal’s finding that there was no contract and declared a binding agreement on wider terms than the trial judge had found.

Lesson: Lack of signature does not automatically mean lack of contract. However, starting work does not always prove a contract either. The particular words, conduct and conditions matter.

9 Formalities are a separate question

A contract for the sale of land in England and Wales generally must be in writing, include the expressly agreed terms and be signed by or on behalf of each party. This is a special rule, not the rule for every transaction.

Writing does not necessarily mean ink on paper. Electronic communications can be relevant, but any requirements for the particular transaction must still be satisfied.

10 A method for analysing agreement

First: Identify the alleged offer and its terms.

Second: Identify any acceptance, including when and how it occurred.

Third: Check whether the reply changed the terms or only asked a question.

Fourth: Assess the parties’ words and conduct objectively.

Finally: Check the other formation requirements and any required formalities.

Vocabulary and practice

11 Essential Legal English

Term	Meaning
Agreement	An understanding between the parties on the relevant terms.
Offeror / offeree	The person making / receiving an offer.
Acceptance	Unqualified agreement to an offer in the legally required way.
Counter-offer	A new proposal changing the terms of the original offer.
Consideration	Something of value given or promised in exchange.
Legally binding	Creating obligations that the law recognises as enforceable.
Formalities	Requirements about the form or execution of a transaction.

12 Check your understanding

1. Does every agreement create a contract? Explain with one example.
2. Lina offers to sell her laptop to Ben for £200. Who is the offeror?
3. Ben replies, "I accept only if you sell it for £150." Is this acceptance?
4. Must every contract be signed?
5. What did the Supreme Court decide in RTS?

Suggested answers

1. No. An agreement to meet for lunch normally lacks intention to create legal relations. **2.** Lina; Ben is the offeree. **3.** No. It changes the price and is a counter-offer. **4.** No. Many contracts are oral or arise through conduct, although special formalities apply to some transactions. **5.** A binding contract existed despite the unsigned final document, based on the agreement and circumstances of the parties' dealings.

Remember: Start with agreement, then check whether the law makes that agreement binding. "We agreed" and "we signed nothing" are both starting points for analysis, not complete answers.

Sources and further reading

Source lesson: Agreement Contract Law, supplied transcript. This guide reorganises the lesson and adds examples, qualifications and a case study.

RTS Flexible Systems Ltd v Müller [2010] UKSC 14. UK Supreme Court case summary; judgment, especially paragraph 45, for the objective approach.

Law of Property (Miscellaneous Provisions) Act 1989, sections 1 and 2: deeds and contracts concerning interests in land. Section 2.